

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **A new surge in oil prices** amid a widening war in the Middle East helped to sink U.S. stocks, with the S&P 500, Dow industrials and Nasdaq falling 0.6%, 1.6% and 0.3%, respectively. **B1**
- ◆ **U.S. jobless claims** held steady last week as employers preferred to retain staff rather than implement layoffs. **A2**
- ◆ **BYD released** a new electric-vehicle battery that can be fully charged in nine minutes in an effort to address slowing demand and falling market share in China. **B4**
- ◆ **VW said it had** delivered four million all-electric vehicles since it launched its first model in 2013. **B4**
- ◆ **Six Flags agreed** to sell seven of its regional amusement parks to EPR Properties for total cash consideration of \$331 million, aiming to simplify its portfolio and strengthen its balance sheet. **B1**
- ◆ **Target said it** planned to open more than 30 locations this year, part of a strategy to drive long-term, sustainable growth by investing in its stores. **B2**
- ◆ **Meta Platforms said it** would let rival chatbots communicate with users on its WhatsApp messaging platform after a caution by EU regulators. **B2**
- ◆ **Kroger posted higher** profit and sales for the fiscal fourth quarter while forecasting continued growth in 2026, though at a slower rate than last year. **B3**
- ◆ **Victoria's Secret reported** strong fiscal fourth-quarter results, beating Wall Street's estimates on both its top and bottom lines. **B3**

Worldwide

- ◆ **Trump fired Kristi Noem** as secretary of the Department of Homeland Security, saying he would replace her with Republican Sen. Markwayne Mullin of Oklahoma. **A1**
- ◆ **Pentagon officials** are drawing up plans to replenish U.S. munitions expended fighting Iran over the past week, in keeping with the administration's efforts to increase the number of missiles manufactured each year. **A1, A6-9**
- ◆ **The U.A.E. is weighing** freezing billions of dollars of Iranian assets held in the Gulf state, an act that could sever one of Tehran's most important economic lifelines. **A8**
- ◆ **Anthropic CEO Dario Amodei** apologized for a leaked memo questioning the Trump administration's motives for declaring his AI company a supply-chain risk and halting its government relationships, but said it will fight the move in court. **A3**
- ◆ **OpenAI believes** elected officials, not tech company executives, should determine the limits of how AI can be used in national defense, Chief Executive Sam Altman said. **A3**
- ◆ **The SEC moved** to dismiss a civil fraud lawsuit it had filed against crypto billionaire Justin Sun, who became a major investor in Trump's crypto projects as he sought leniency from U.S. law enforcers. **A3**
- ◆ **Top Republican leaders** asked Rep. Tony Gonzales to drop his re-election bid a day after he admitted to having an affair with an aide who later killed herself. **A3**
- ◆ **States filed** a lawsuit challenging a new global tariff that Trump imposed. **A2**

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A building in Beirut's suburbs was reduced to rubble on Thursday during waves of Israeli strikes that also hit Tehran. **A7**

Pentagon Races to Secure Cash For Iran Operations, Munitions

Requests to Congress and push to boost weapons production explored

By MARCUS WEISGERBER AND DREW FITZGERALD

Pentagon officials are drawing up plans to replenish U.S. munitions expended fighting Iran over the past week, according to people familiar with the matter, a step in the Trump administration's efforts to drastically increase the number

of missiles made each year. Lawmakers in Congress and defense-industry officials are expecting a funding request from the Pentagon to pay for costs associated with the war. The funding would support the purchase of Patriot, Tomahawk and Thaad missile systems, which have been in heavy use since the U.S. and Israel began their strikes, the people said. Recent fighting in the Middle East burned through stockpiles for some of those weapons. That added a new challenge for the Defense Department, which is wrestling with how to pay for

War's Path

- ◆ **Grief and pride in Iowa** as conflict takes lives..... **A5**
- ◆ **Pentagon keeps focus** on jets, naval ships..... **A6**
- ◆ **Kurdish uprising** would come with risks..... **A7**

a war with an indefinite end date. It is also facing an industrial base that was stretched to meet current demand and potential threats from China. The conflict in the Middle East continued to escalate on Thursday, with Israel saying it

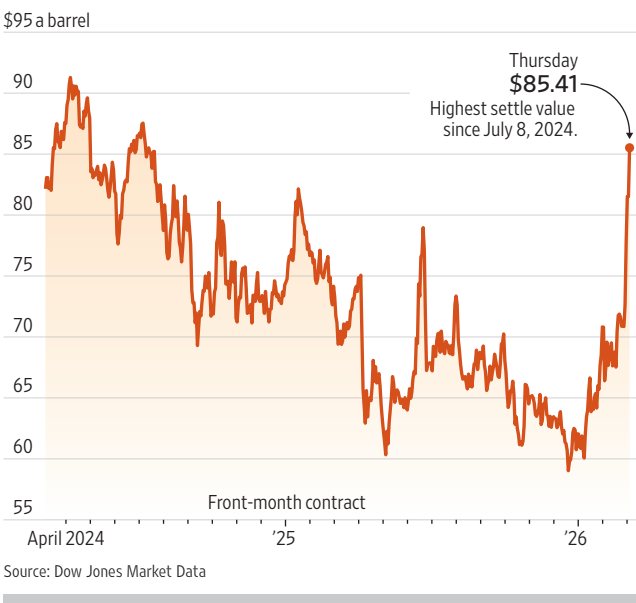
started another wave of large-scale strikes on Tehran and struck Hezbollah command centers in Beirut, while Iran fired more missiles toward Israel and hit its northern neighbor, Azerbaijan, the latest nation to be dragged into the war. Azerbaijan promised a response. Admiral Brad Cooper, the Central Command chief, said U.S. forces attacked the headquarters of the regime militia that is "targeting the protesters" and urged Iranians to stay inside. Meanwhile the State De-

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Surge in Oil Prices Hits Stocks

U.S. crude futures rose 8.5% on Thursday, the biggest one-day percentage gain since 2020. The surge sent stocks lower, extending moves that have rippled through the markets. **B1**

Brent crude-oil futures price



With Fewer Weapons, Iran's Strikes Decline But Targets Broaden

The U.S. and Israel said they have degraded Iran's missile stockpiles and launchers, blunting Tehran's ability to unleash massive barrages like those at the opening of the conflict.

By Jared Malsin in Istanbul and Anat Peled in Jerusalem

Yet Iran is still striking back by widening the war across the Middle East, hitting at least 11 countries in six days and jolting the global economy in a bid to pressure Washington to end the war.

Iran's ballistic-missile launches were down 90% from the first day of fighting, the Pentagon said Thursday. Drone attacks fell 83% from the first days of the campaign. The U.S. and Israel are betting that crippling Iran's missile arsenal is key to crushing the regime's ability to fight back. But Iran still has other ways to retaliate, most important its arsenal of low-cost drones. It continues to launch drones by the hundreds at Arab neighbors across the Persian Gulf, spreading fear, roiling markets and disrupting

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High Schools Are Losing Fight Against Pot—Even During Class

Legalization makes marijuana culturally acceptable and easy to get for underage students; 'it was a party in the bathroom'

By ANDREA PETERSEN

BRENTWOOD, Calif.—It was 10:09 and 22 seconds on a Friday morning at Liberty High School when an alert dinged on James Geis's phone: "High Vape Index."

He dashed out of the administrative building and jumped into a golf cart, racing across the school's sprawling campus to the

location identified in the alert, the "E" girls' bathroom. Within minutes he was outside the door.

A girl walked out. "Can I talk to you? Was there anyone else in there with you?" said Geis, one of the school's campus supervisors tasked with combating marijuana use—or what many Liberty students call "narcs."

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Taylor Swift Tests Her Powers on a London Eyesore

Drab mall started getting rave reviews after pop star's music video

By NATASHA DANGOOR

SOUTH LONDON—This mall has been better days. The once-bustling complex with all the high-street favorites is largely empty, with over 70

vacant units. Floorboards are loose, buckets collect water from the leaking roof, and the cafes are a mere facade. It turns out all it needed was a visit from Taylor Swift. The pop star filmed part of

the music video for her latest single, "Opalite," in Croydon's Whitgift Centre—an unremarkable mall in a less remarkable London suburb. When Croydon appears in the

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Trump Removes Noem as Homeland Secretary

Testimony at hearing enraged president; Sen. Mullin is picked for the position

President Trump ousted Kristi Noem as secretary of the Department of Homeland Security, saying Thursday he would replace her with Sen. Markwayne Mullin of Oklahoma.

By Josh Dawsey, Tarini Parti and Michelle Hackman

Noem becomes the first cabinet secretary to be fired by Trump in his second term. Her departure follows a tumultuous tenure that culminated in two high-profile killings of U.S. citizens by federal immigration agents and a pair of congressional hearings that displayed bipartisan frustration with her leadership.

Trump had been telling White House advisers for at least a week that he was tired of the infighting and drama at Homeland Security. The final straw for him was Noem's combative hearing Tuesday before the Senate Judiciary Committee.

The president watched the testimony and was apoplectic about her performance, telling advisers that evening he would remove her from the job, according to people familiar with the matter. Trump, a Republican, also began calling members of Congress and asking for replacement ideas, the person said.

Trump fired Noem in a phone call minutes before she took the stage in Nashville, Tenn., to deliver remarks on law enforcement and take

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INSIDE



MANSION

Lifting the veil on New York's most secretive condo project, with sales over \$1 billion. **M1**

Firms Rush Shipments After Ruling on Tariffs

By RUTH SIMON

Michael Burns made a bet that the Supreme Court would strike down some of the Trump administration's tariffs. Now it is paying off.

Burns, who owns the auto-products maker ValvoMax, decided to hold parts for the company's oil-change kits in India back in October, hoping that a court ruling would lower the tariff bill.

Once the court ruled that some tariffs were illegal, Burns jumped into action, telling the factory to ship the parts as soon as possible, before rates changed again.

"This is a big win for me, even if I don't get the refund," said Burns, who expects to pay \$15,000 instead of \$50,000 in tariffs on the shipment, valued at about \$100,000. "For a small-business owner, that's a lot of money."

Companies that have been feeling the pinch from import

duties over the past year are scrambling to capitalize on the Supreme Court ruling, even as it has sparked a fresh wave of uncertainty.

Some quickly made the decision to accelerate shipments to take advantage of the new, lower tariff rates. Others are looking to speed up production of key items or rethinking pricing strategies. Businesses are also totaling up their tariff bills—and taking steps to boost their chances of securing a refund.

Rapid-fire tariff changes over the past year have fueled economic uncertainty and made planning challenging for companies of all sizes. At ValvoMax, higher tariff bills had forced the company to delay the introduction of a new oil-filter tool and put off plans to hire an additional employee. ValvoMax has four employees who assemble, test, package and fulfill or-

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